MnAnalyse
Case Analysis Competition

August 2025

Proposed Strategic Combination: Air India & Singapore Airlines

"Unlocking Growth, Synergies, and Global Market Leadership"

Air India–Vistara Merger: Strategic Assessment & Synergy Realisation

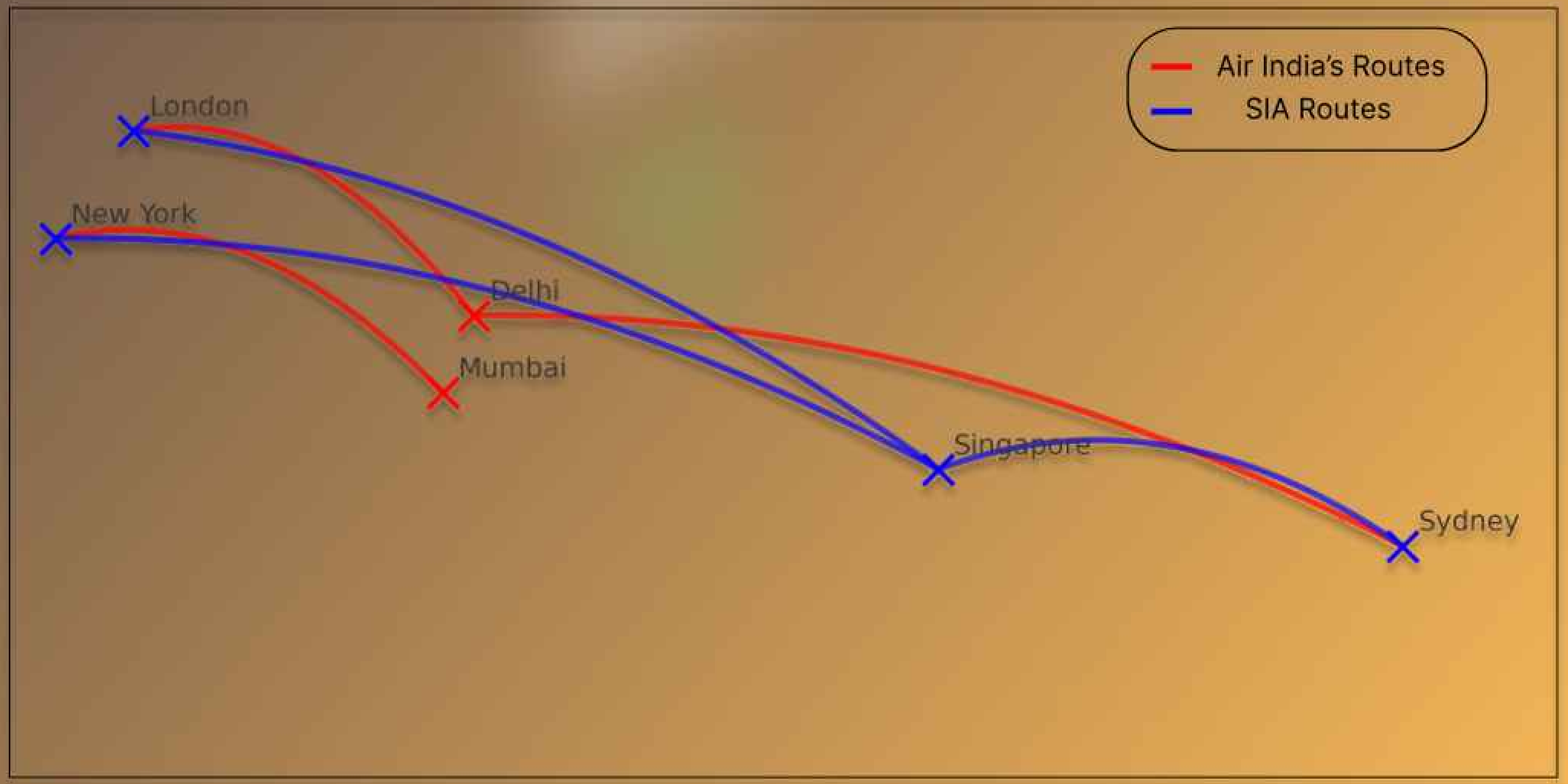
Transaction Overview

- *Merger of Air India and Singapore Airlines (SIA) under Tata Group's aviation portfolio.*
- ***Combined fleet:** ~220 aircraft, serving over 60 destinations.*
- ***Transaction structure:** SIA to acquire/retain equity stake in merged entity, combined brand positioning in premium & full-service segments.*

Executive Highlights

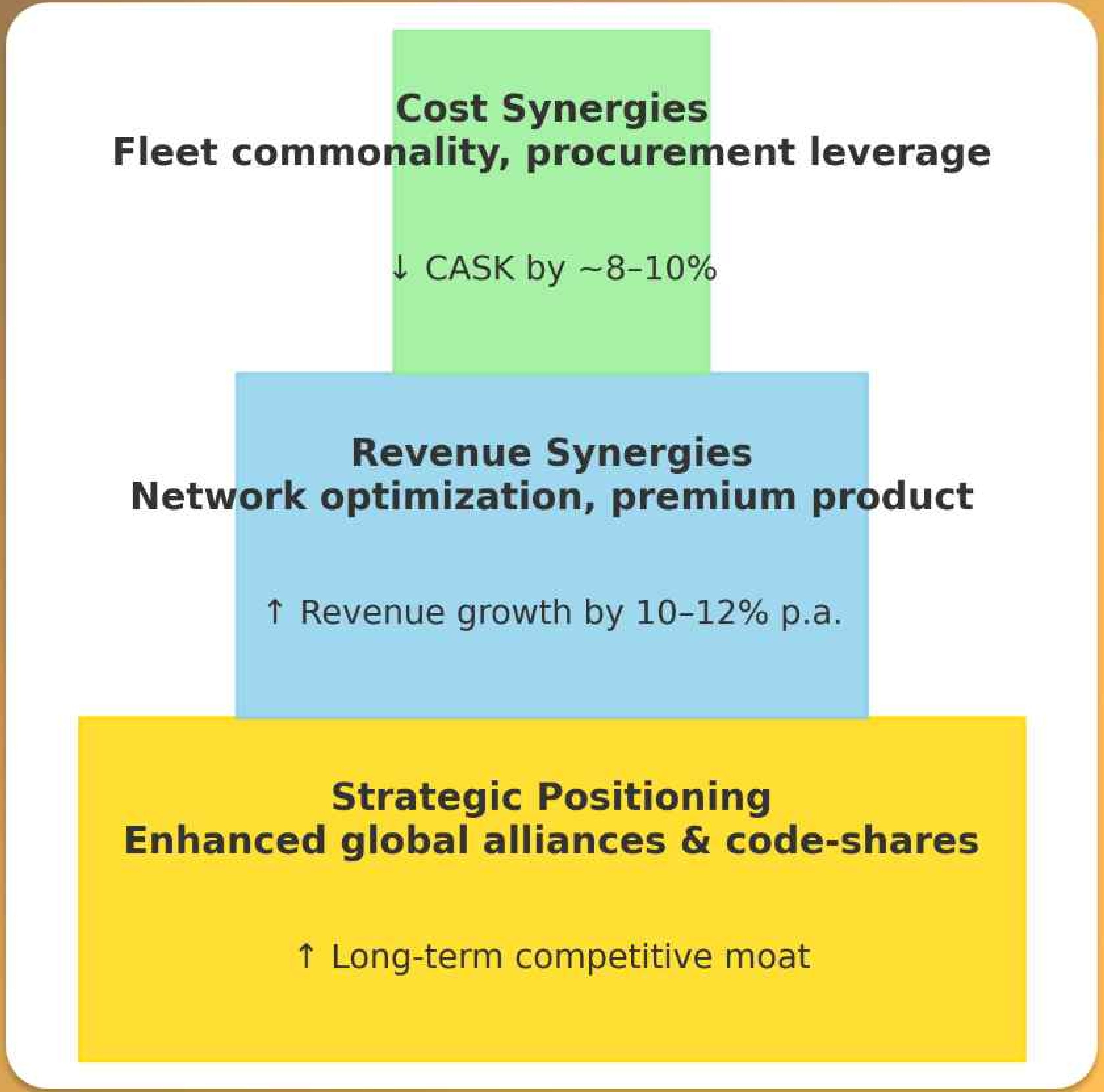
- ***Valuation:** ₹ 68,500 Cr with identified synergies worth ₹ 4,250 Cr (NPV).*
- ***Strategic Fit:** Consolidates Tata Group's aviation assets; positions merged entity as a leading Asia-Pacific carrier.*
- ***Synergies:** Network optimization, fleet harmonization, loyalty program integration, enhanced premium product offering.*
- ***Regulatory Outlook:** High likelihood of CCI & DGCA approval with minimal remedies.*
- ***Timeline:** Signing to completion in 6–9 months; integration over 24 months.*

Combined Air India + SIA Route Network (Stylized)



Why This Merger Creates Transformative Value ?

Strategic Driver	Description	Value Impact
Market Leadership	Creates largest full-service airline in India; strengthens APAC market share.	↑ Revenue growth by 10–12% p.a.
Network Synergies	Expanded global reach with better route connectivity.	↑ Load factors, ↑ yield
Product & Brand Strength	Combines SIA's premium product with Air India's legacy network.	Higher RASK (Revenue per Available Seat Km)
Cost Efficiencies	Fleet commonality, procurement leverage, operational optimization.	↓ CASK by ~8–10%
Loyalty Program Integration	Unifies frequent flyer base; higher customer retention.	+ Cross-sell ancillary services
Strategic Positioning	Enhanced global alliances and code-shares.	Long-term competitive moat



SWOT Analysis — Combined Air India & SIA Entity

vistara

AIR INDIA

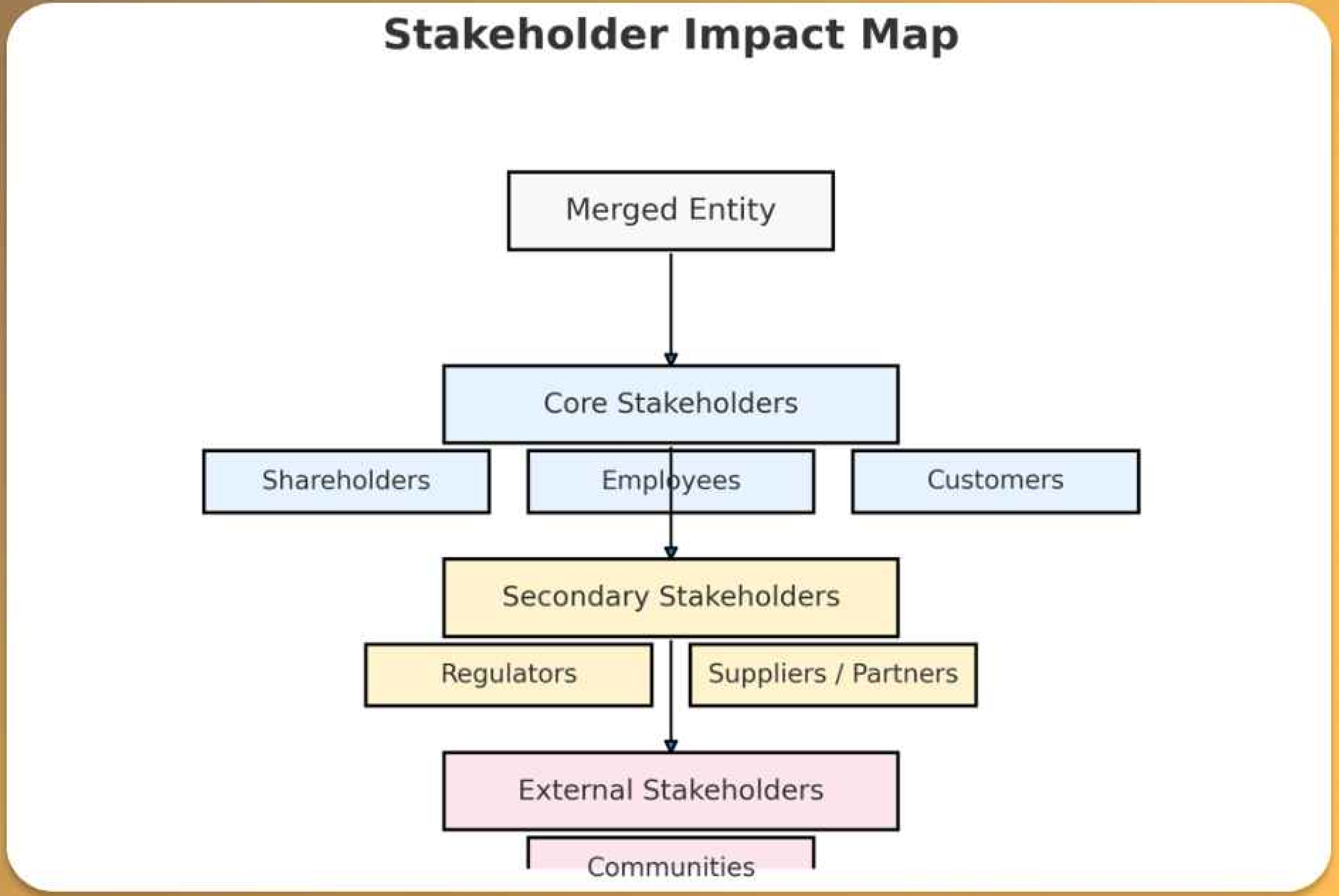
Internal Factors

External Factors

Strengths	Weaknesses	Opportunities	Threats
- Strong brand equity of SIA and Air India legacy.	- Integration complexity across geographies.	- Rising premium travel demand in India/APAC.	- Competitor capacity expansion (IndiGo, Emirates).
- Extensive route network across APAC, Europe, NA.	- Disparate IT and operational systems.	- Strategic partnerships and code-share expansions.	- Volatile fuel prices impacting margins.
- Access to premium and economy segments.	- Cultural alignment challenges.	- Ancillary revenue growth (cargo, services).	- Regulatory hurdles in foreign markets.
- Strong capital backing from Tata Group & Temasek.	- Historical inefficiencies in Air India operations.	- ESG positioning for sustainable aviation.	- Macroeconomic downturns reducing travel demand.

Stakeholder Impact & Engagement Plan

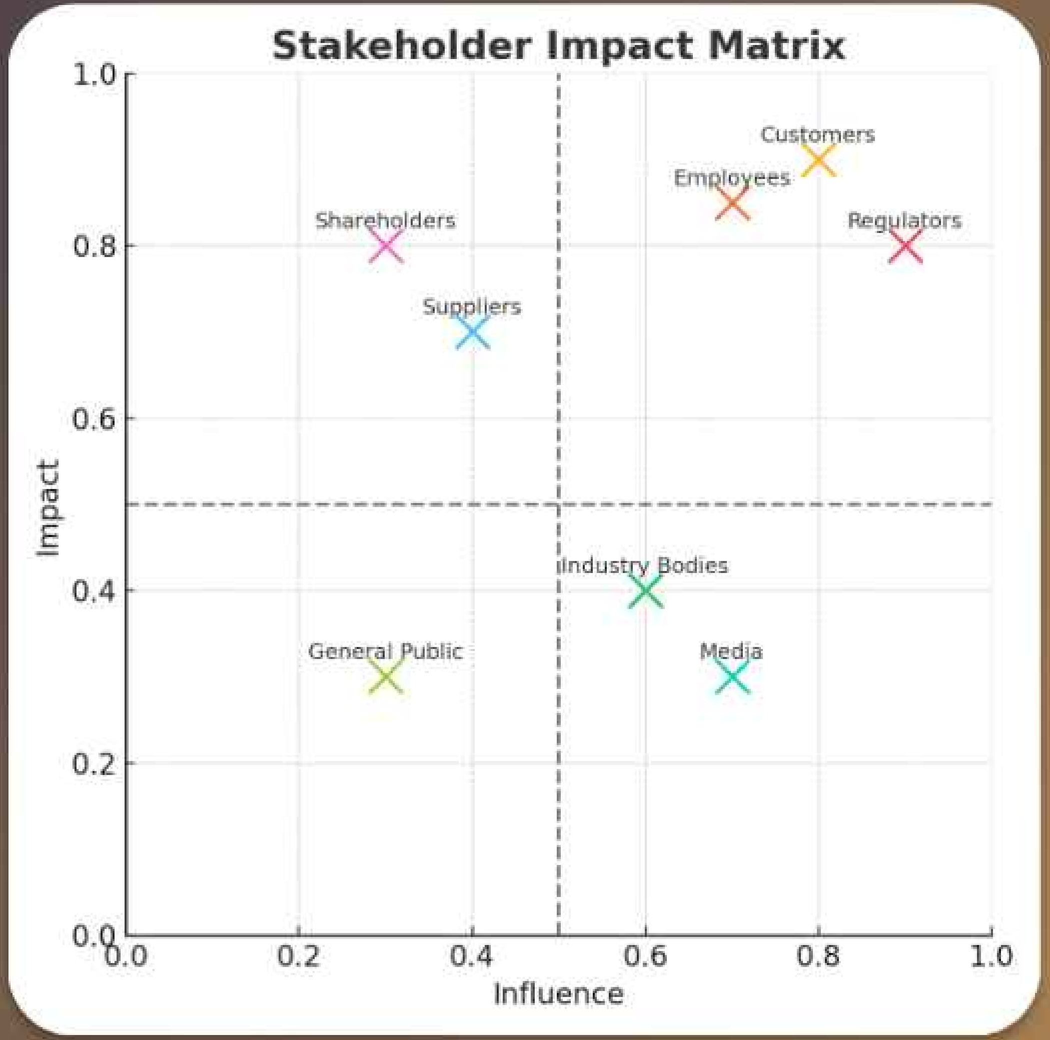
Stakeholder Group	Interest/Impact	Engagement Approach
Shareholders (Tata Sons, SIA)	Maximize ROI, protect value.	Transparent updates, synergy realization reporting.
Employees	Job security, career growth, work culture.	Clear HR roadmap, retention bonuses, integration workshops.
Customers	Service quality, route options, loyalty program continuity.	Early communication, seamless program integration.
Regulators (DCGA, CCI, CAAS)	Compliance, fair competition, safety.	Proactive pre-filing consultations, commitments on fair pricing.
Suppliers/Partners	Continuity of contracts, volumes.	Renegotiation for win-win terms, long-term partnerships.
Communities	Economic & social contributions.	CSR alignment with local needs.



Stakeholder Priorities & ESG Alignment Post-Merger

Stakeholder Impact Matrix (Impact vs. Influence)

Quadrant	Stakeholder Groups	Key Integration Actions
High Impact / High Influence	Customers, Employees, Regulators	Loyalty program unification, cultural integration, compliance alignment
High Impact / Low Influence	Shareholders, Key Suppliers	Transparent reporting, joint procurement agreements
Low Impact / High Influence	Media, Aviation Industry Bodies	Positive PR campaigns, policy engagement
Low Impact / Low Influence	General Public	CSR initiatives, aviation career programs

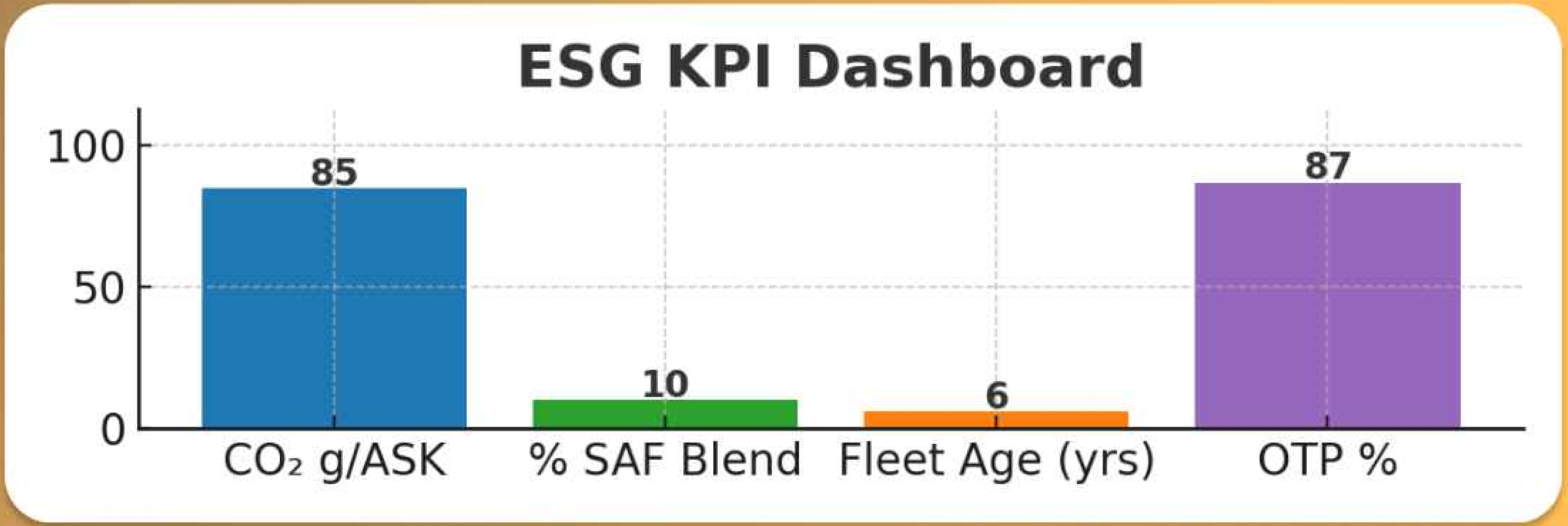


ESG Pillars (5-year Roadmap)

- ***Decarbonization:*** *Fleet age target < 6 years by FY28, SAF usage 10% by FY30.*
- ***Operational Efficiency:*** *AI-driven route optimization → 3–4% lower fuel burn; ground ops integration → −15% idle engine time.*
- ***Governance:*** *ESG Steering Committee reporting quarterly; full emissions disclosure.*

Strategic Impact:

- *ESG leadership may lower WACC by **30–50 bps** over 5 years.*
- *Strong ESG score widens investor pool, improves access to global capital markets.*



End-to-End M&A Lifecycle for Air India – SIA Merger

Process Flow:

1. Strategic Rationale & Target Screening
- *Define synergy thesis (cost + revenue + strategic benefits)*
- *Assess strategic fit with Tata Group aviation portfolio*

2. Preliminary Valuation & Deal Structuring
- *Apply DCF, precedent transactions, and synergy valuation*
- *Structure equity swap vs. cash consideration for SIA stake*

3. Due Diligence
- *Financial, legal, operational, ESG, and HR due diligence*
- *Identify integration barriers early (IT, fleet, regulatory)*

4. Regulatory Filings & Approvals
- *Competition Commission of India (CCI)*
- *DGCA operational clearance*
- *International aviation treaties and bilateral rights review*

5. Negotiation & Signing
- *Final SPA (Share Purchase Agreement) terms*
- *Governance framework for post-merger joint ops*

6. Closing & Day 1 Readiness
- *Legal completion of transfer*
- *Communication plan for customers, employees, and media*

7. Post-Merger Integration
- *Execute integration roadmap (fleet, network, loyalty programs)*
- *Monitor synergy capture*

Key Insights Box

- *Typical deal cycle: 6–12 months from initiation to closing*
- *Early engagement with regulators accelerates approvals by 20–30%*
- *Cultural alignment discussions before SPA reduce integration delays*

Regulatory & Legal Pathways for the Merger

Key Regulatory Bodies

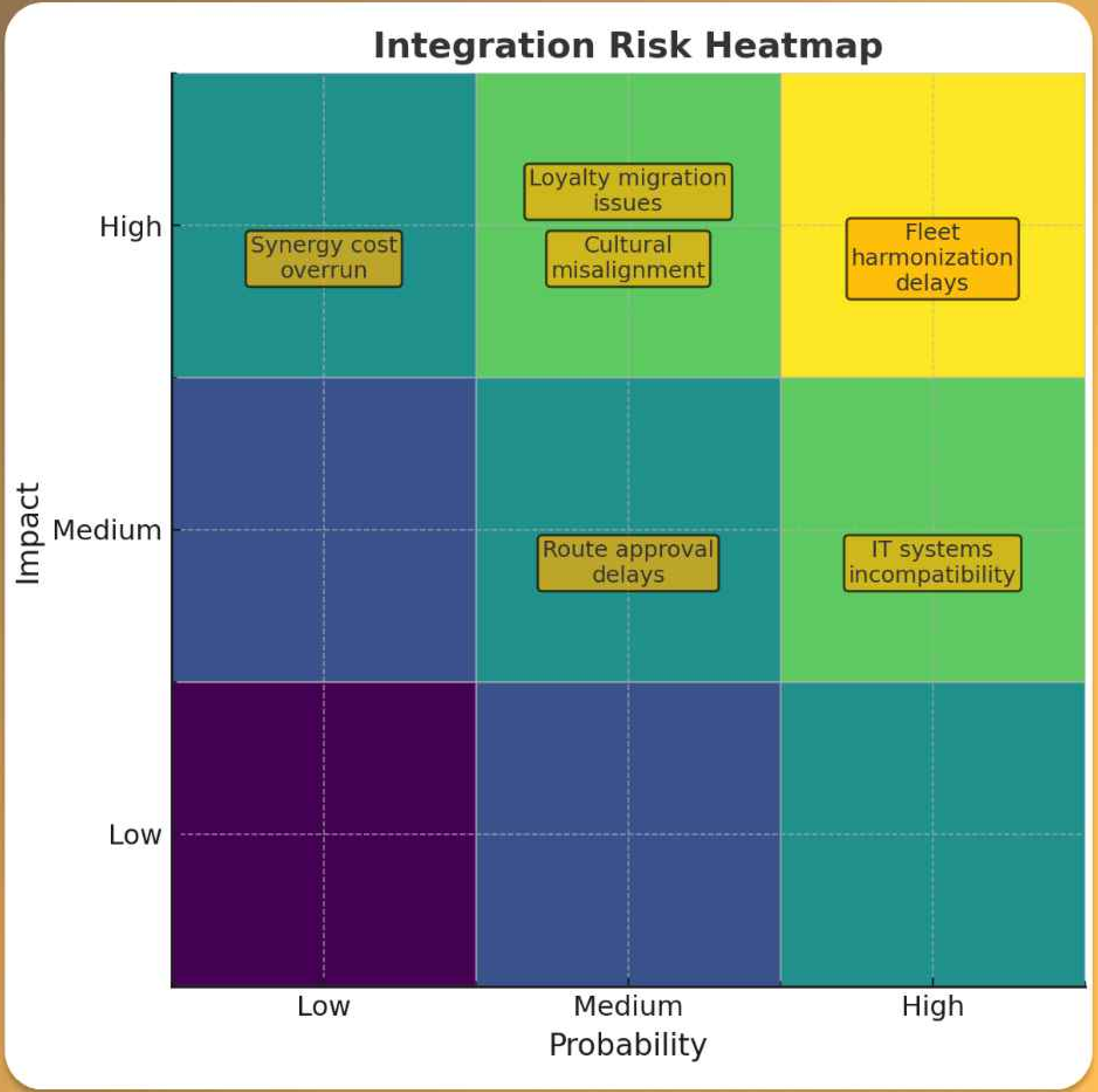
- ***Competition Commission of India (CCI)*** *– Anti-trust clearance, market dominance assessment*
- ***Directorate General of Civil Aviation (DGCA)*** *– Air operator permit, safety compliance for merged fleet*
- ***Ministry of Civil Aviation (MoCA)*** *– Route rights & bilateral agreements*
- ***Securities and Exchange Board of India (SEBI)*** *– Shareholding changes, public disclosures*
- ***International Regulators*** *– Foreign ownership and competition approvals in Singapore, EU, USA*

Compliance Roadmap

1. *Pre-Filing Consultation with CCI & DGCA to preempt issues*
2. *Notification Submission – Full merger notification with synergy rationale*
3. *Public Comment Period – Address competitor and public objections*
4. *Conditional Approvals – Remedies if necessary (slot divestment, fair pricing commitments)*
5. *Final Clearance & Closing – Legal merger and commencement of integrated operations*

Integration Risk Heatmap

Risk Category	Specific Risk	Probability	Impact	Mitigation Strategy
Operational	Fleet harmonization delays	High	High	Phased integration, lease bridging
Cultural	Misalignment between Air India & SIA work norms	Medium	High	Joint leadership workshops
Regulatory	Delays in foreign route approvals	Medium	Medium	Advance engagement with MoCA & ICAO
Technology	IT systems incompatibility	High	Medium	Early-stage IT integration task force
Customer	Loyalty program migration issues	Medium	High	Parallel run before full cutover
Financial	Cost overrun in synergy capture	Low	High	Contingency reserve in budget



Synergy Realization Model & Break-Even

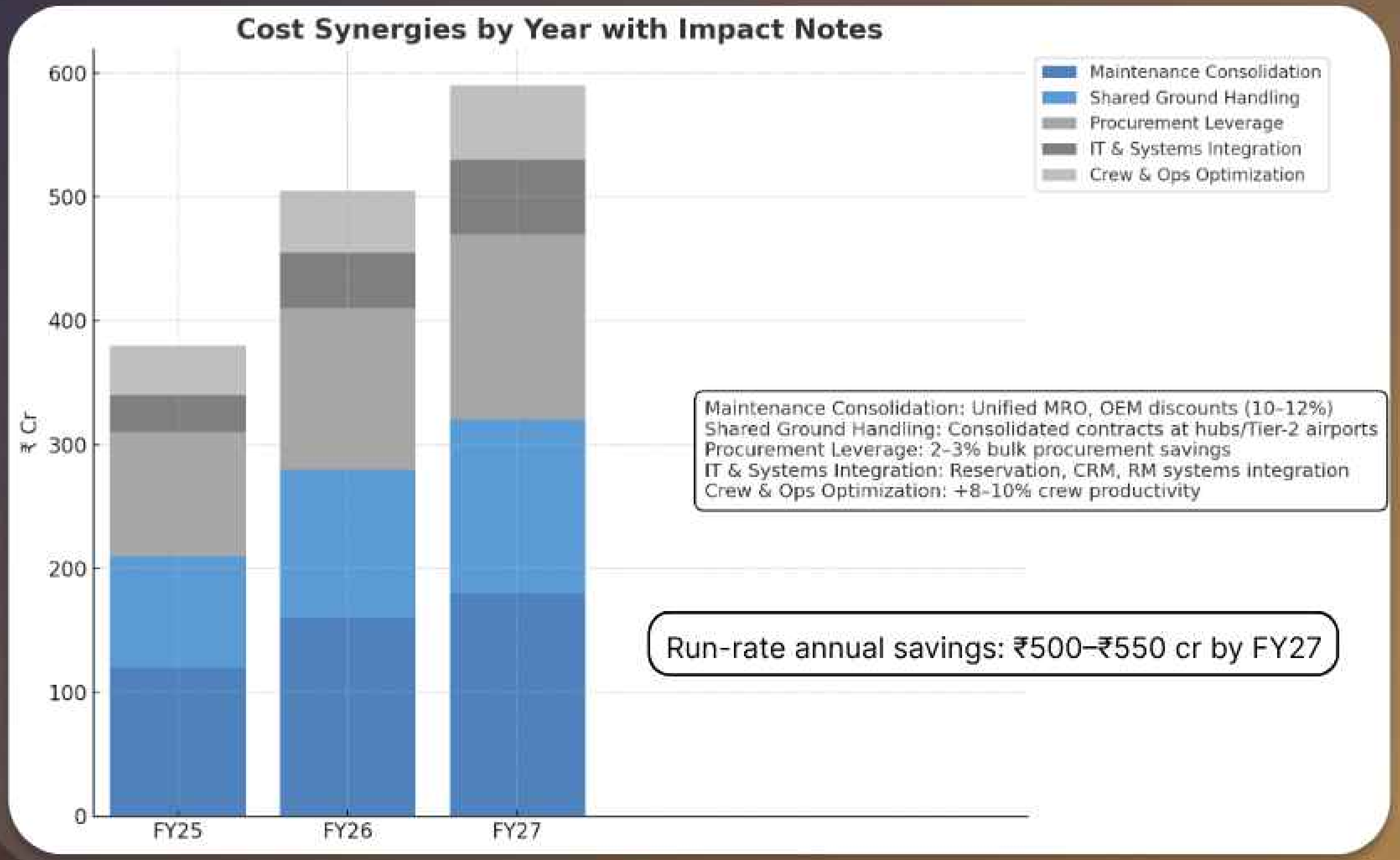
Strategic Context

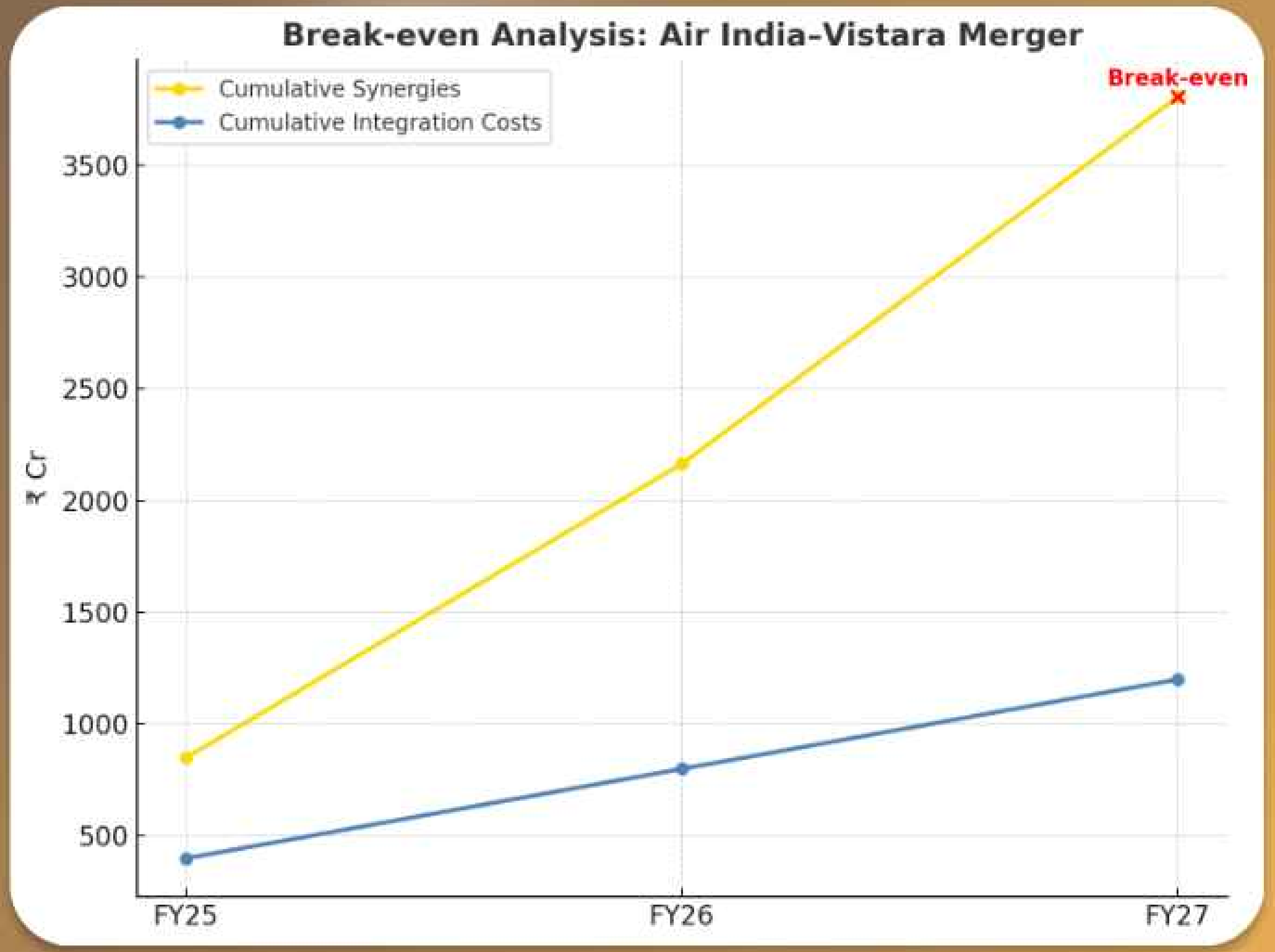
The Air India–Vistara integration offers one of the most substantial synergy capture opportunities in Indian aviation history due to scale, complementary network strengths, and brand positioning.

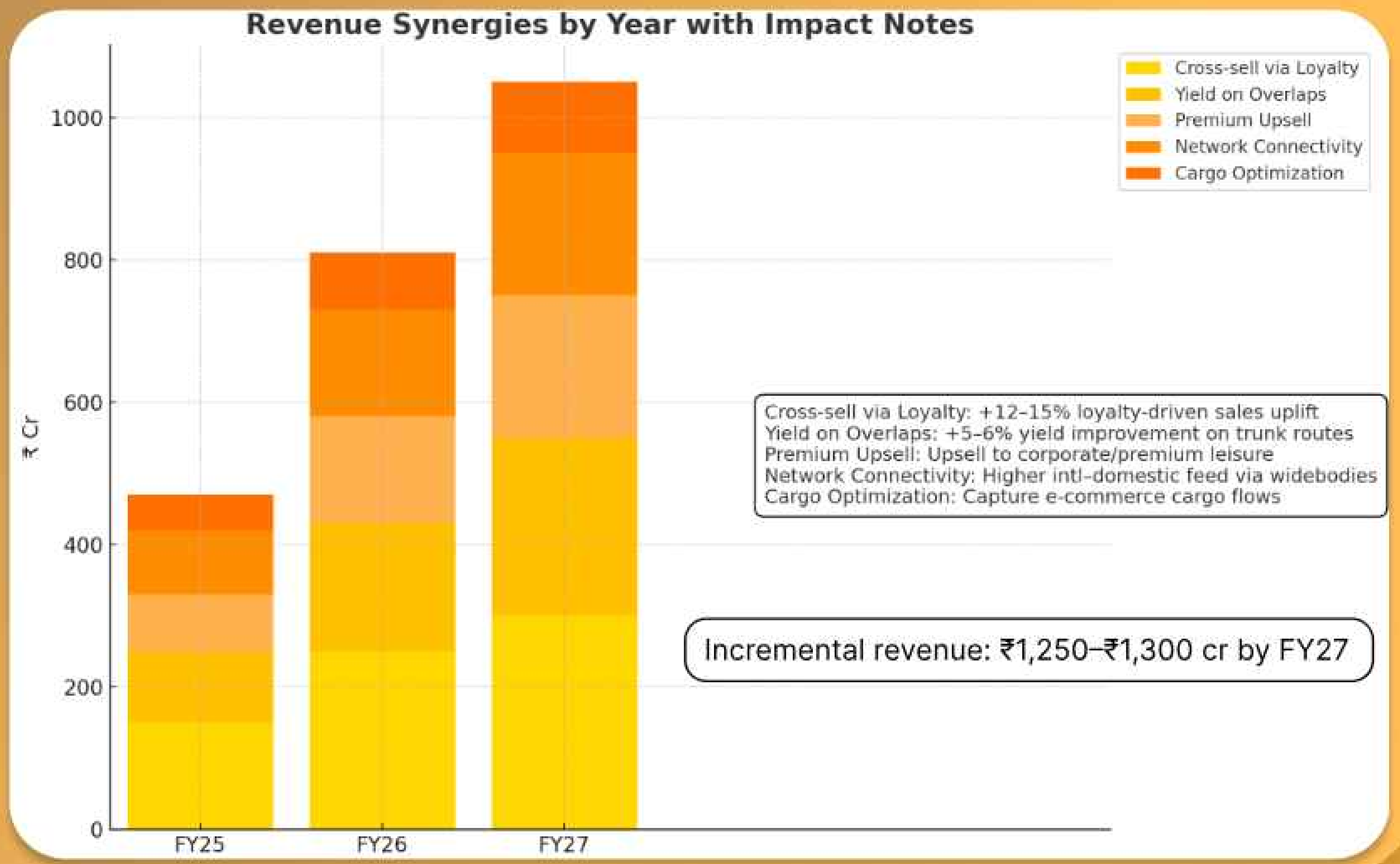
- ***Post-merger footprint:*** *100+ domestic and 50+ international destinations, consolidated into a single premium full-service brand.*
- ***Competitive imperative:*** *IndiGo's cost leadership and Emirates/Qatar's premium service dominance make rapid synergy capture a survival and growth requirement.*
- ***Integration complexity:*** *High — due to fleet heterogeneity, crew union harmonization, and loyalty program migration — but with material upside if executed within the 36-month synergy window.*

Break-even Analysis

- ***Integration & transition costs:*** *~₹1,200 cr over FY25–FY27 (fleet harmonization, IT systems, training, brand migration).*
- ***Breakeven Point:*** *Achieved in Year 3 (FY27) once cumulative net synergies (₹1,800 cr) offset integration costs.*
- ***Payback Period:*** *~3 years — aggressive but achievable given strong cost synergy certainty and moderate revenue synergy risk.*
- ***NPV of Synergies:*** *Using WACC of 10% and a conservative ramp-up, estimated NPV ≈ ₹3,800–₹4,200 cr.*







Value Creation from Air India–Vistara Merger: DCF & Synergy Capture

DCF Inputs & Key Assumptions

Base Year Financials (FY25E) (All in ₹ Crore)

Metric	Air India	Vistara	Combined (Pre-Synergy)
Revenue	45,000	18,000	63,000
EBITDA Margin	8%	10%	8.6%
EBITDA	3,600	1,800	5,400
Depreciation	2,000	800	2,800
EBIT	1,600	1,000	2,600

Forecast Assumptions (FY26–FY30):

- ***Revenue Growth:*** *15% CAGR (India market tailwinds + network expansion).*
- ***EBITDA Margin Expansion:*** *From 8.6% → 13% over 5 years (yearly margins used: 8.6%, 9.8%, 11.0%, 12.2%, 13.0%).*
- ***Depreciation:*** *~4% of revenue (fleet renewal, IFRS adjustments).*
- ***Capex:*** *₹5,000 Cr/year (fleet acquisition, IT systems).*
- ***WACC:*** *10.5% (blended cost of equity + debt for Indian FSC).*
- ***Terminal Growth:*** *3% (conservative, below GDP growth).*
- ***Tax Rate:*** *25%.*

5-Year Forecast (₹ Cr)

Year	Revenue	EBITDA (rev × margin)	Depreciation (4% of rev)	EBIT = EBITDA − Dep	Tax = 25% × EBIT	Free Cash Flow (FCF) = EBIT×(1−T) + Dep − Capex
2025	63,000	63,000 × 0.086 = **5,418.00**	63,000 × 0.04 = **2,520.00**	5,418.00 − 2,520.00 = **2,898.00**	2,898.00 × 0.25 = **724.50**	2,898.00×0.75 + 2,520.00 − 5,000 = **−306.50**
2026	72,450	72,450 × 0.098 = **7,100.10**	72,450 × 0.04 = **2,898.00**	7,100.10 − 2,898.00 = **4,202.10**	4,202.10 × 0.25 = **1,050.52**	4,202.10×0.75 + 2,898.00 − 5,000 = **1,049.58**
2027	83,318	83,318 × 0.11 = **9,165.00**	83,318 × 0.04 = **3,333.00**	9,165.00 − 3,333.00 = **5,832.00**	5,832.00 × 0.25 = **1,458.00**	5,832.00×0.75 + 3,333.00 − 5,000 = **2,706.92**
2028	95,815	95,815 × 0.122 = **11,689.43**	95,815 × 0.04 = **3,832.60**	11,689.43 − 3,832.60 = **7,856.83**	7,856.83 × 0.25 = **1,964.21**	7,856.83×0.75 + 3,832.60 − 5,000 = **4,725.22**
2029	110,187	110,187 × 0.13 = **14,324.31**	110,187 × 0.04 = **4,407.48**	14,324.31 − 4,407.48 = **9,916.83**	9,916.83 × 0.25 = **2,479.21**	9,916.83×0.75 + 4,407.48 − 5,000 = **6,845.10**

Synergy Assumptions

- ***Revenue Synergies:*** *₹1,000 Cr incremental/year at full run-rate (Year 4 onwards).*
- ***Cost Synergies:*** *₹500 Cr savings/year at full run-rate (Year 3 onwards).*
- ***Ramp-Up:*** *30% Year1, 60% Year2, 100% Year3 onward (so synergy cashflow = 450, 900, 1,500, 1,500, 1,500 for Years 1–5).*

Notes on the 2025 negative FCF: *first-year FCF is negative (−₹306.50 Cr) because capex (₹5,000 Cr) is front-loaded relative to accounting depreciation and profitability improvement — this is realistic for a fleet-heavy integration program.*

Projected Financials & DCF Output

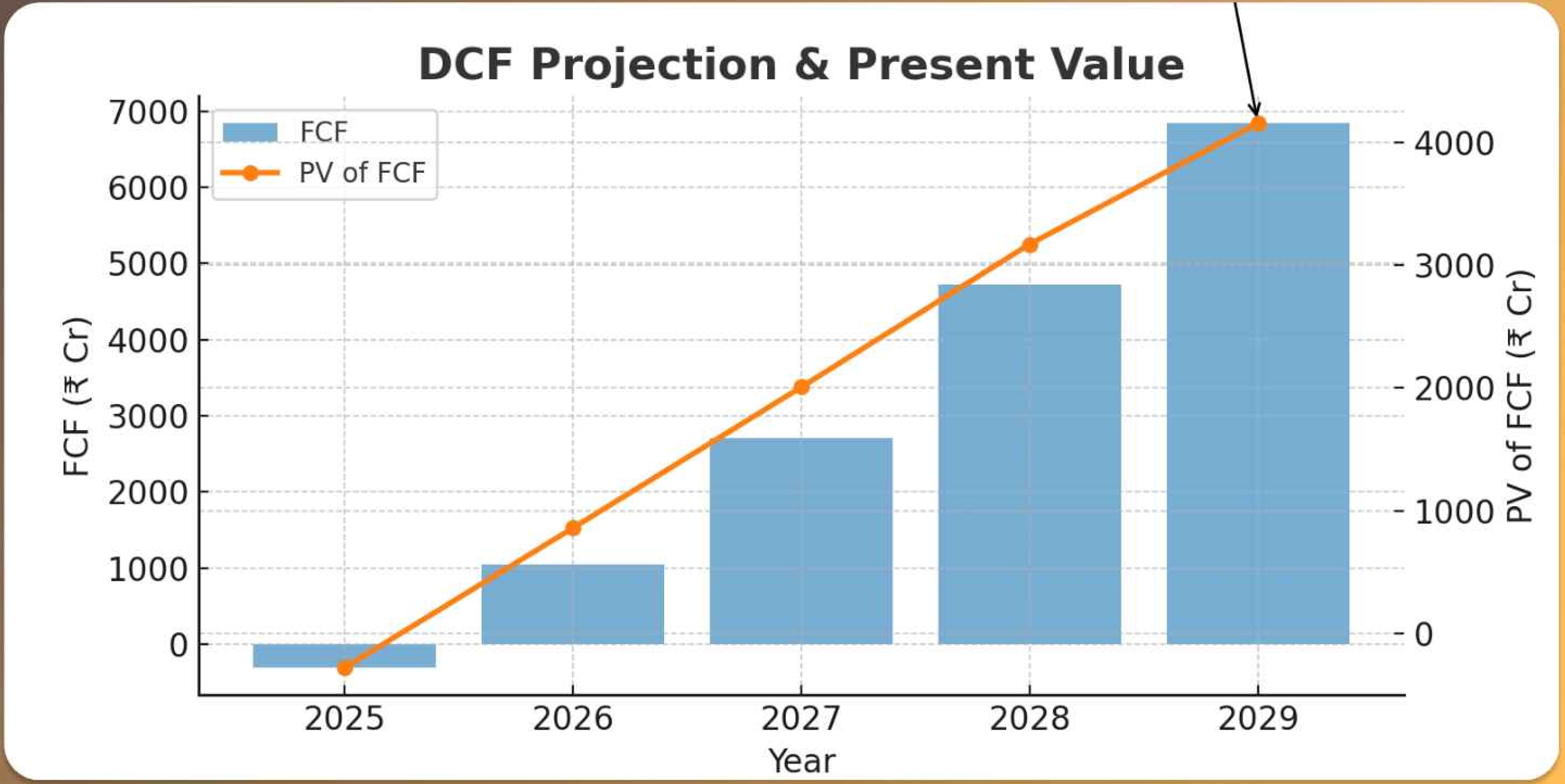
Discounting to Present (WACC = 10.5%)

Computing discount factors and present values of each FCF (discounting Year1 = FY25 → factor = 1/(1+0.105)^1 etc.):

(All in ₹ Crore)

Year	FCF	PV factor	PV(FCF) = FCF × PV factor
2025	−306.50	0.90498	**−277.03**
2026	1,049.58	0.81898	**859.59**
2027	2,706.92	0.74116	**2,006.27**
2028	4,725.22	0.67073	**3,169.37**
2029	6,845.10	0.60700	**4,154.97**

*Sum PV of explicit-period FCFs = **₹9,913.17 Cr.***



Terminal Value (TV)

Terminal value (Gordon Growth) at end of 2029:

$$\mathrm{TV} = \frac{\mathrm{FCF}_{2029} \times (1+g)}{WACC - g} = \frac{6{,}845.10 \times 1.03}{0.105 - 0.03} = \frac{7{,}050.45}{0.075} = \mathbf{94{,}006.04\ Cr}$$

PV(TV)

PV of TV (discount 5 years at 10.5%):

$$\mathrm{PV(TV)} = \frac{94{,}006.04}{(1.105)^5} = \mathbf{57{,}061.66\ Cr}$$

Enterprise Value (pre-synergy) = PV(FCFs) + PV(TV)
*= 9,912.82 + 57,061.66 = **₹66,974.83 Cr***

NPV of Synergies & Final Valuation Bridge

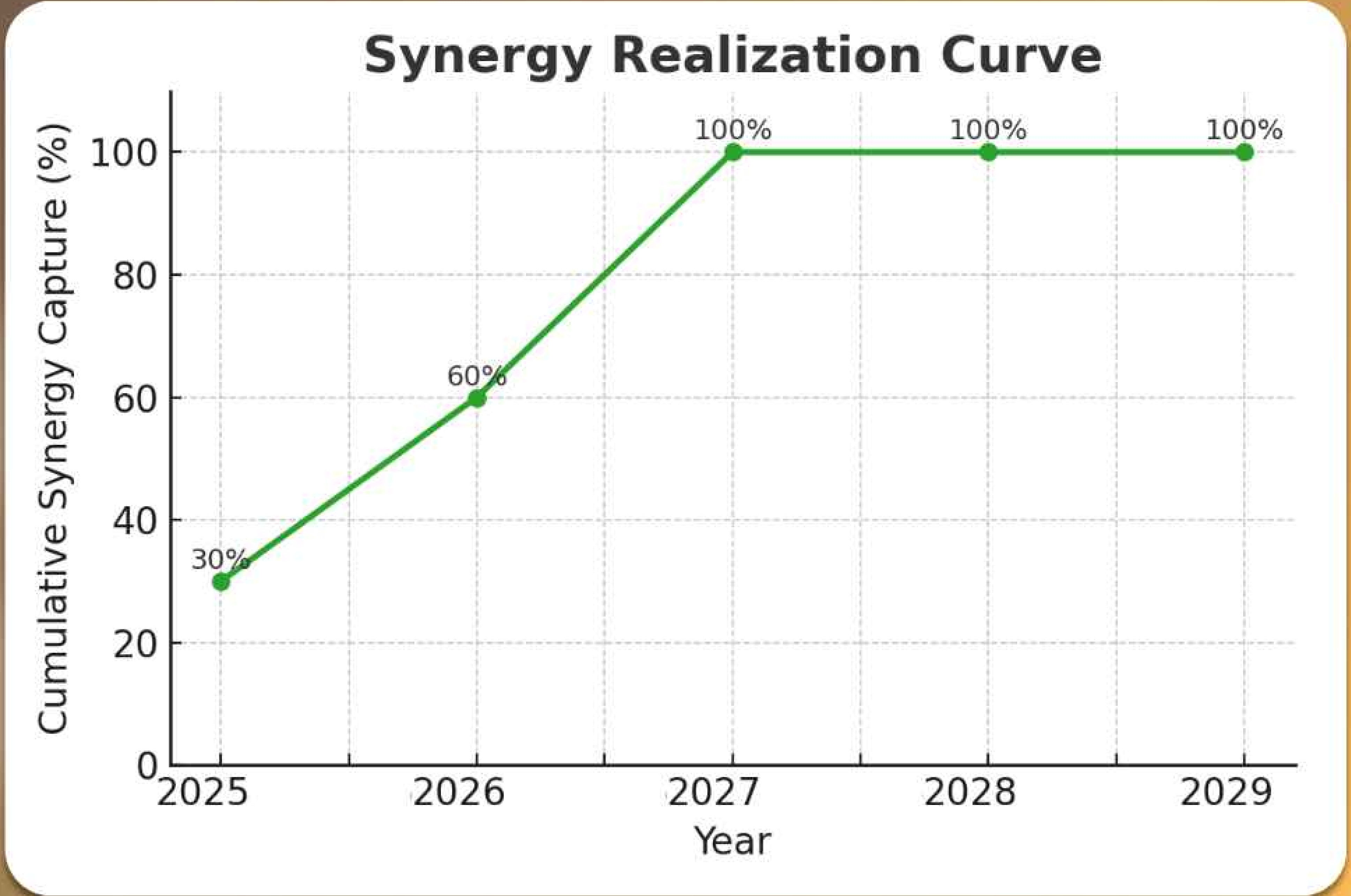
Synergy Cash Flows (₹ Cr)

(assumed total 1,500 full run): 450, 900, 1,500, 1,500, 1,500 for FY25–FY29 (30%/60%/100% ramp).

Discounting each synergy cashflow with the same PV factors:

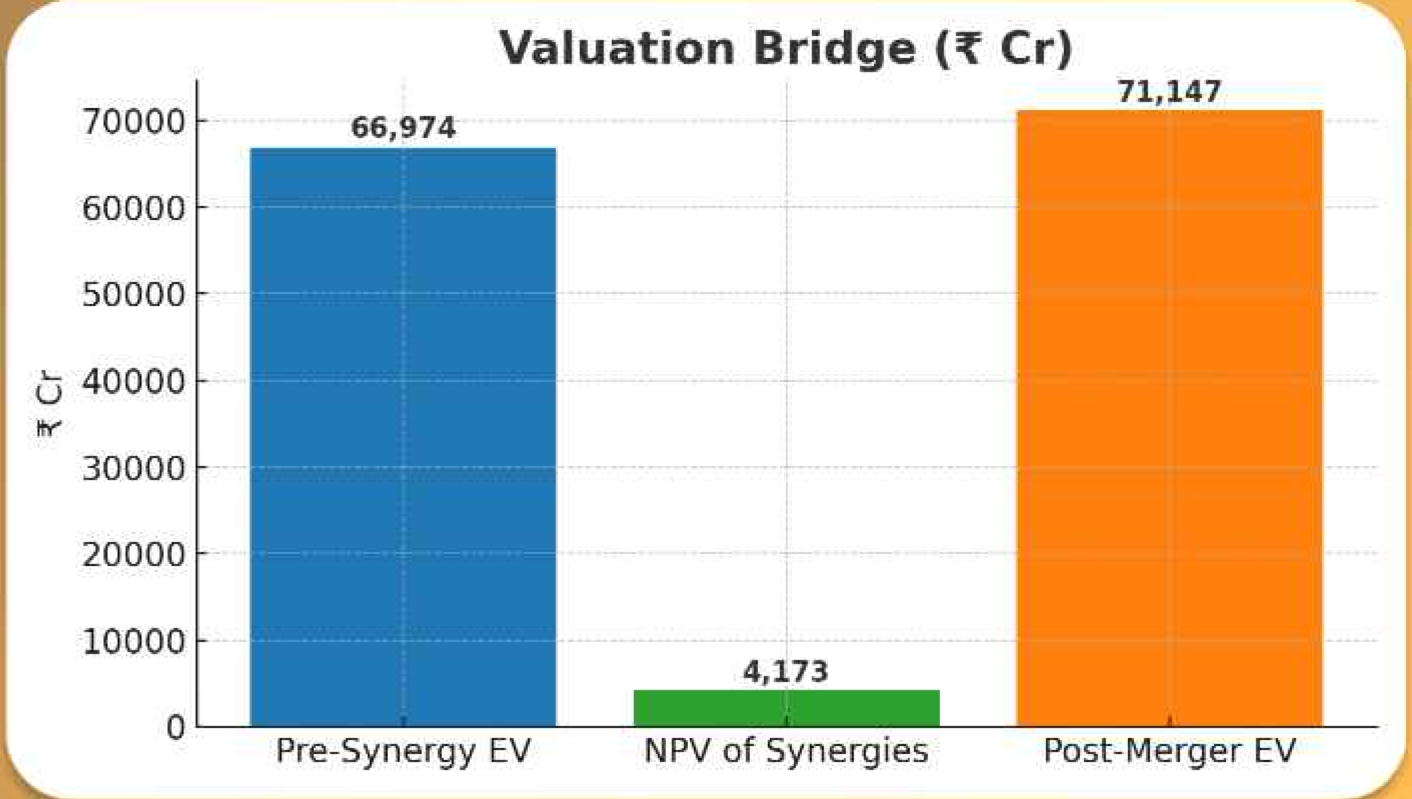
Year	Synergy cash	PV factor	PV(synergy)
2025	450	0.90498	**407.24**
2026	900	0.81898	**737.09**
2027	1,500	0.74116	**1,111.74**
2028	1,500	0.67073	**1,006.10**
2029	1,500	0.60700	**910.50**

*NPV of Synergies (sum) = **₹4,172.67 Cr***



Final Valuation Bridge (₹ Cr)

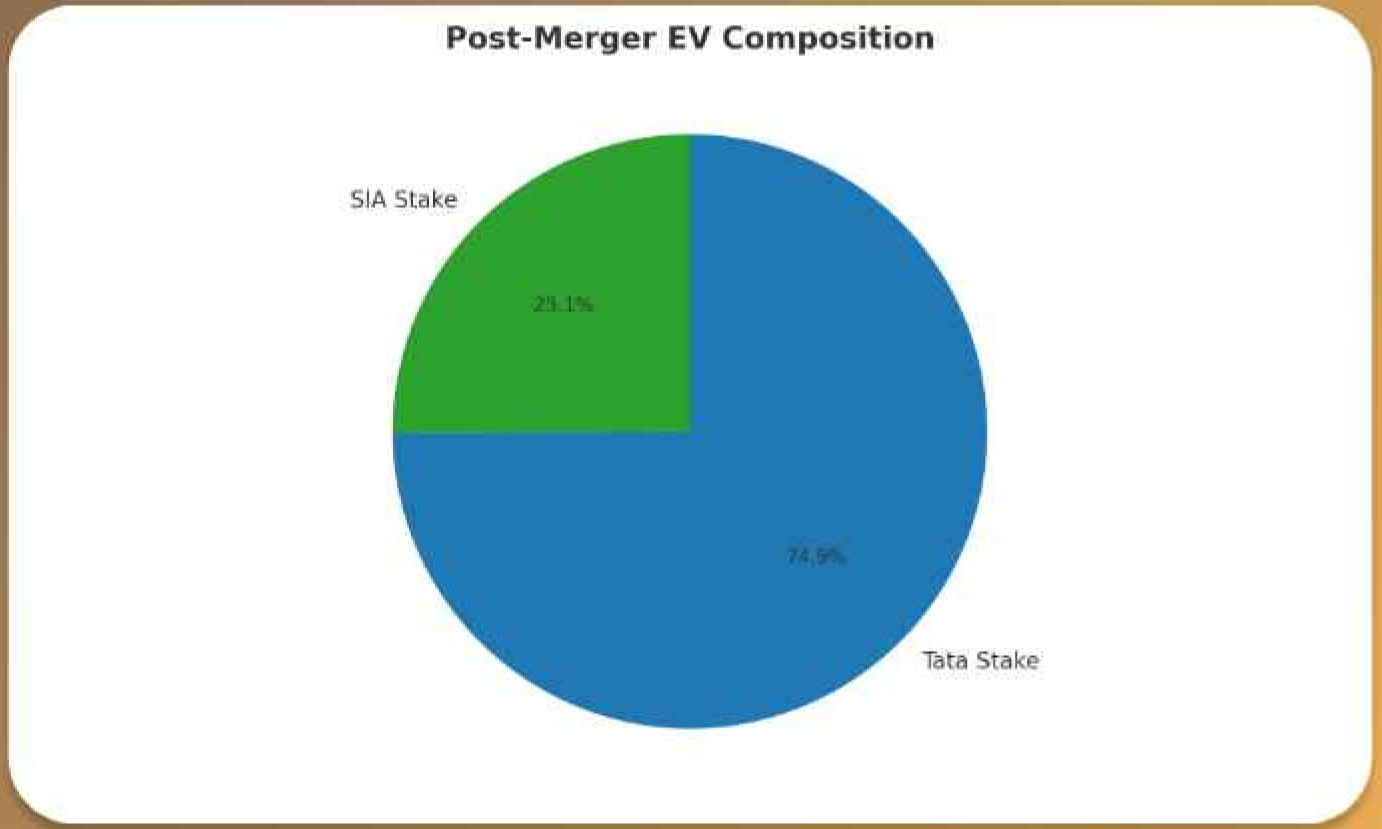
Component	Value
Pre-Merger EV	₹66,974.48 Cr
+ NPV of Synergies	₹4,172.67 Cr
Post-Merger EV	**₹71,147.15 Cr**
SIA 25.1% Stake Value	₹17,857.93 Cr



Strategic Value of SIA's 25.1% Equity in Merged Air India

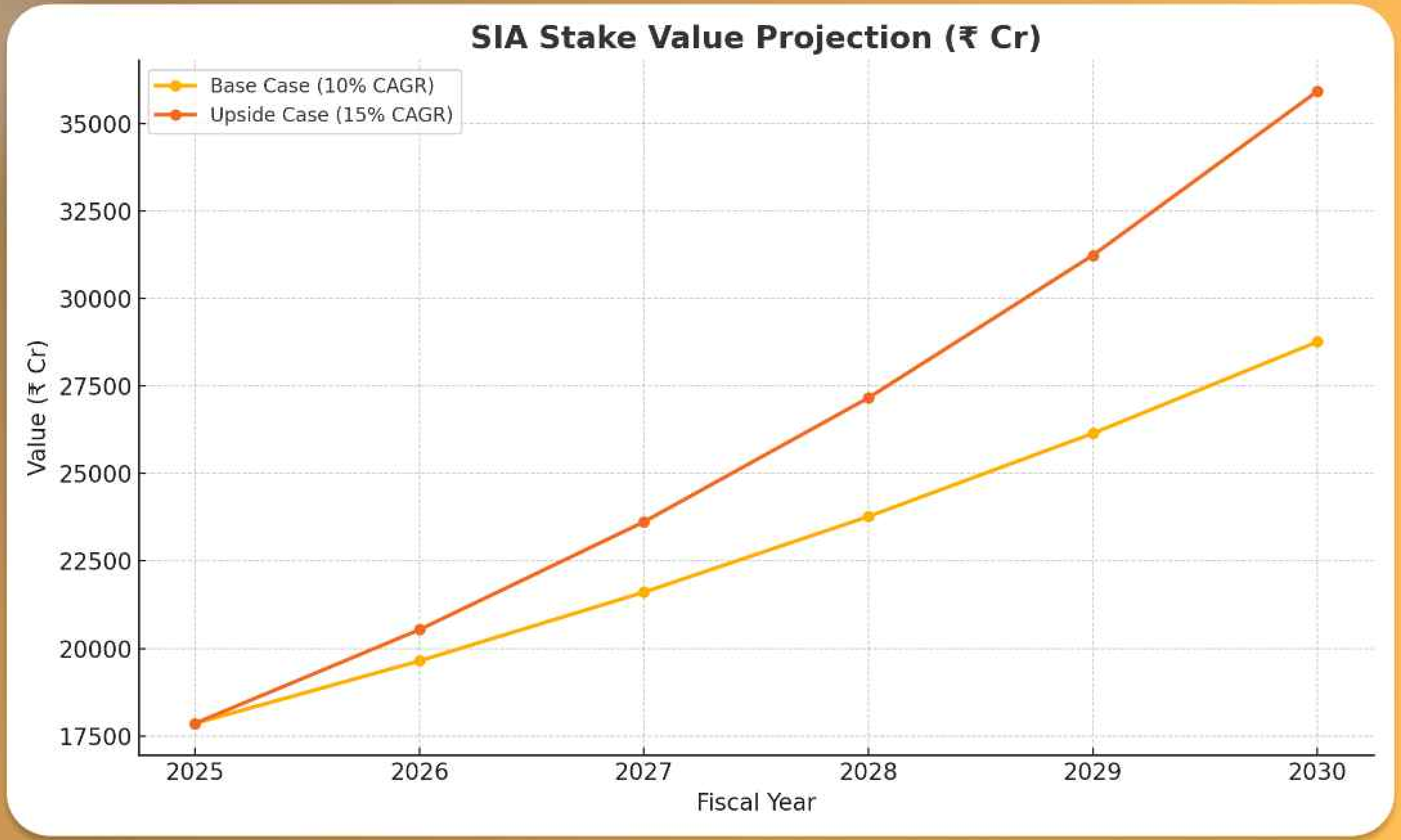
Stake & Current Value

- *Post-merger EV (corrected DCF): ₹71,147 Cr*
- *SIA's 25.1% stake value: ₹17,858 Cr (Base Case FY25)*
- *Upside potential: ₹35,900 Cr by FY30 at 15% CAGR in EV*



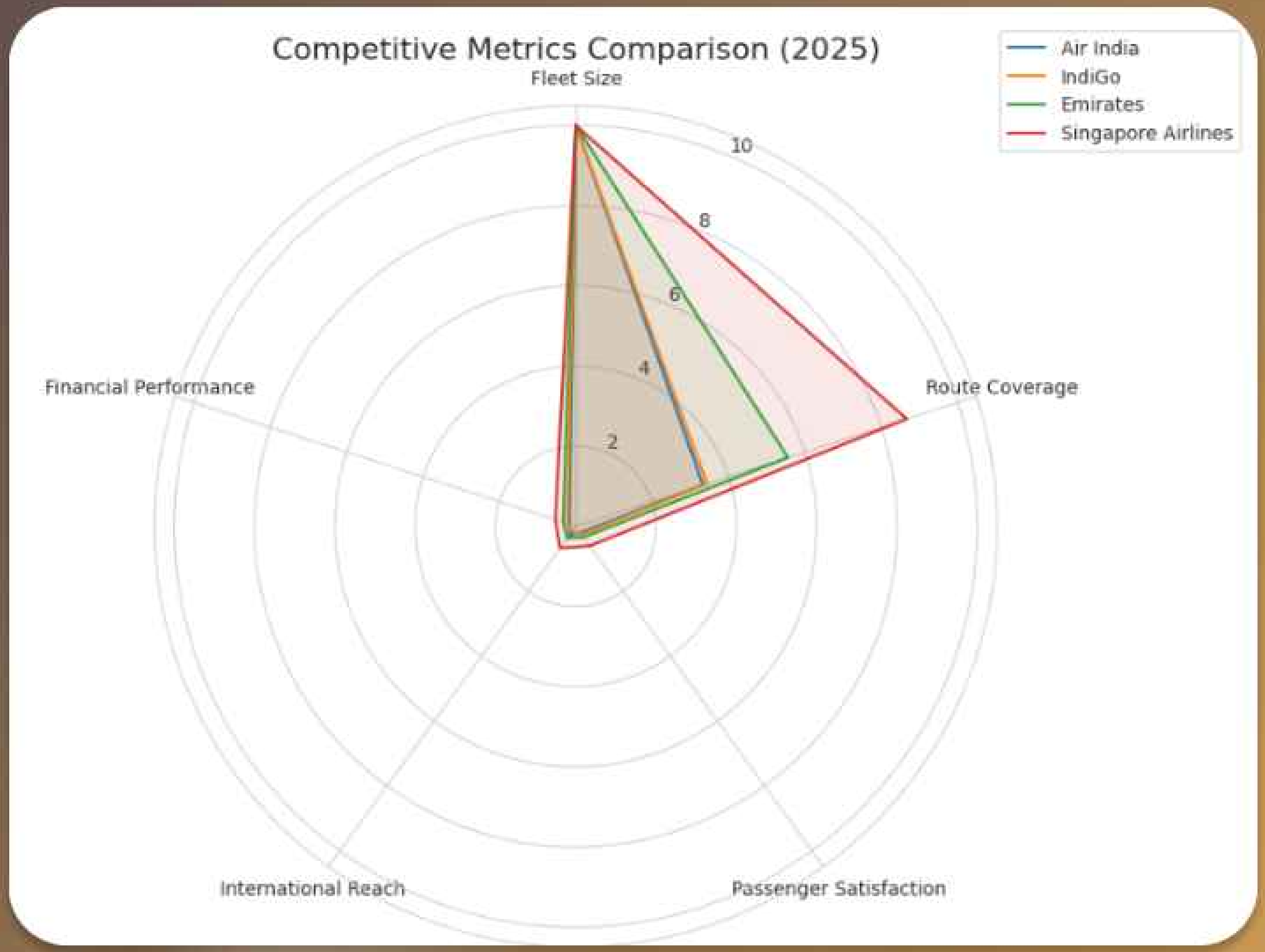
Strategic Benefits to SIA

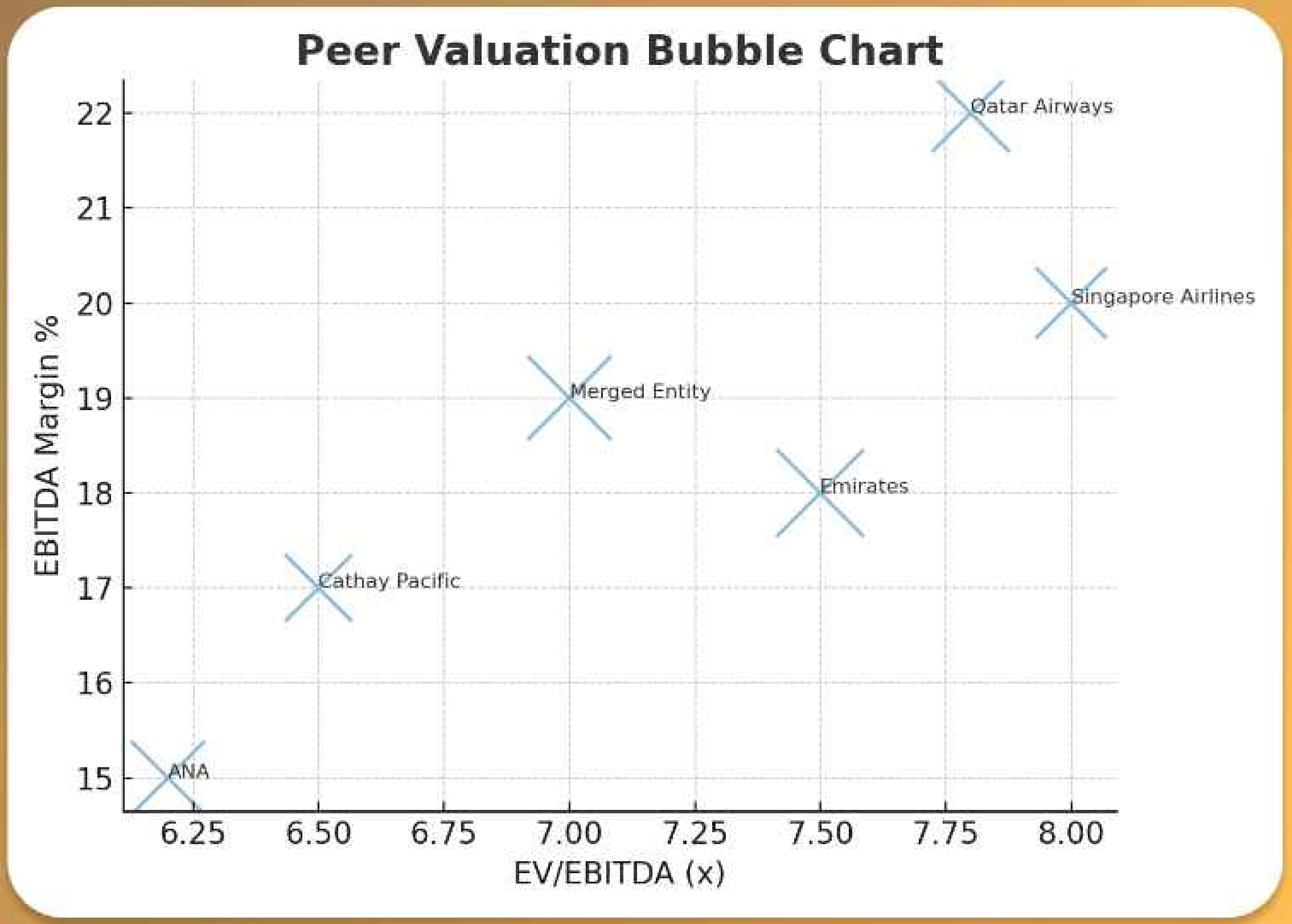
- ***Network Access:** Direct reach into Tier-2 & Tier-3 Indian cities with Air India's domestic network.*
- ***Hub Leverage:** Singapore hub as a gateway for Air India's long-haul passengers to Southeast Asia, Australia, and the US West Coast.*
- ***Cost Efficiency:** Shared aircraft procurement, joint MRO contracts, bulk fuel negotiations.*
- ***Market Hedge:** Balances SIA's exposure between premium international routes and fast-growing Indian domestic demand.*

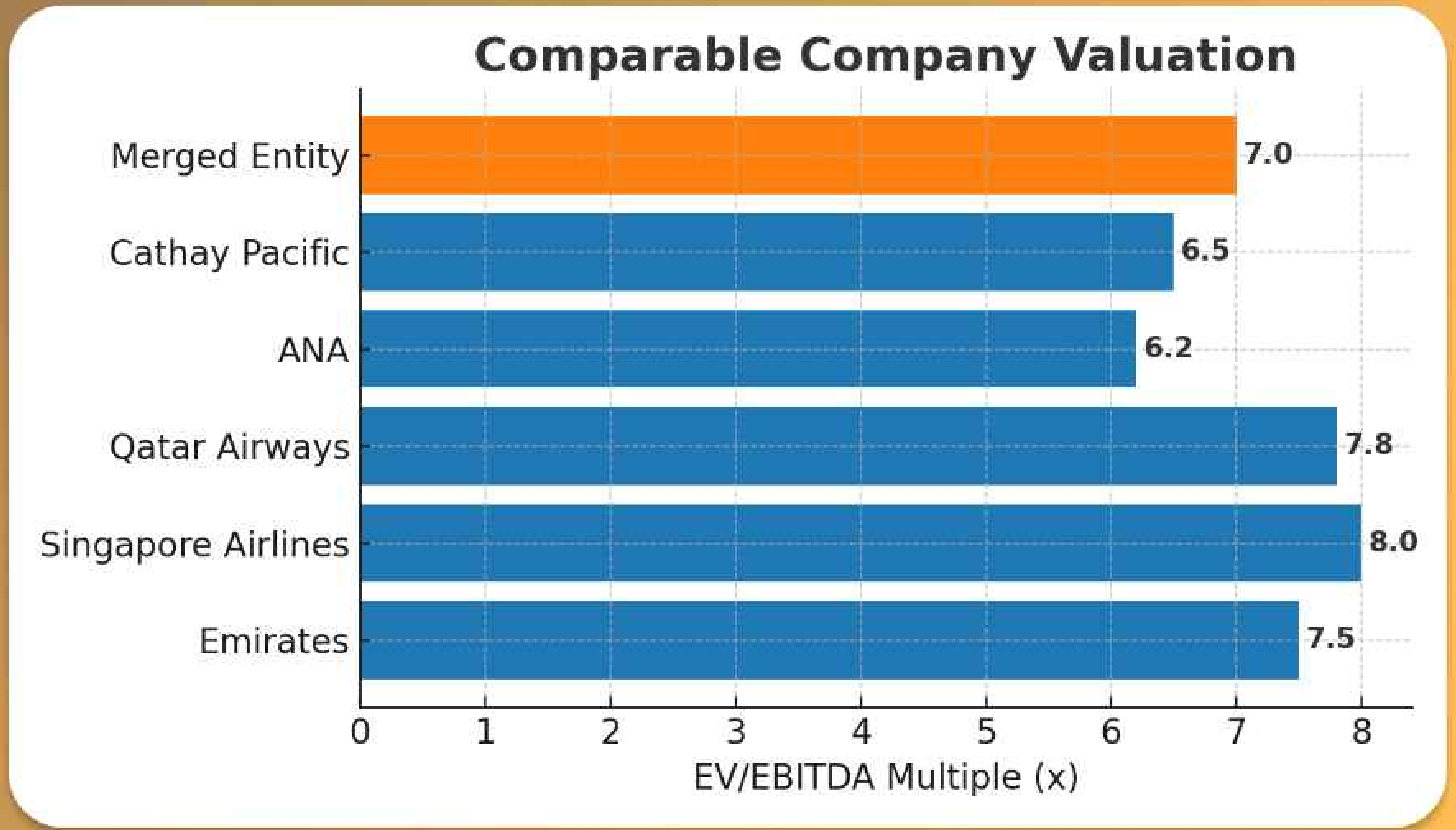


Comparable Company Analysis — Global Airline Peers

Company	EV/EBITDA (x)	P/E (x)	Revenue (₹ Cr)	EBITDA Margin %	Comments
Emirates	7.5	14.0	1,20,000	18%	Strong ME hub advantage
Singapore Airlines	8.0	15.0	78,000	20%	High premium segment
Qatar Airways	7.8	NA	95,000	22%	State-backed resilience
ANA Holdings	6.2	13.5	85,000	15%	Strong Asia-Pacific demand
Cathay Pacific	6.5	14.2	70,000	17%	Cargo-heavy recovery
Merged Entity (Est.)	**7.0**	**13.8**	**1,10,000**	**19%**	Synergy capture in progress







5-Year Customer Experience Roadmap

Timeline with Initiatives

Year 1:

- *Align service protocols across Air India & Vistara*
- *Introduce joint loyalty tier recognition*

Year 2:

- *Unified loyalty platform with upgraded app & booking engine*
- *Fleet-wide Wi-Fi and entertainment system upgrades*

Year 3:

- *Launch premium economy on 100% of international routes*
- *Revamp lounges in top 10 airports*

Year 4:

- *AI-based customer service (chatbots, predictive offers)*
- *Personalized in-flight menus based on passenger history*

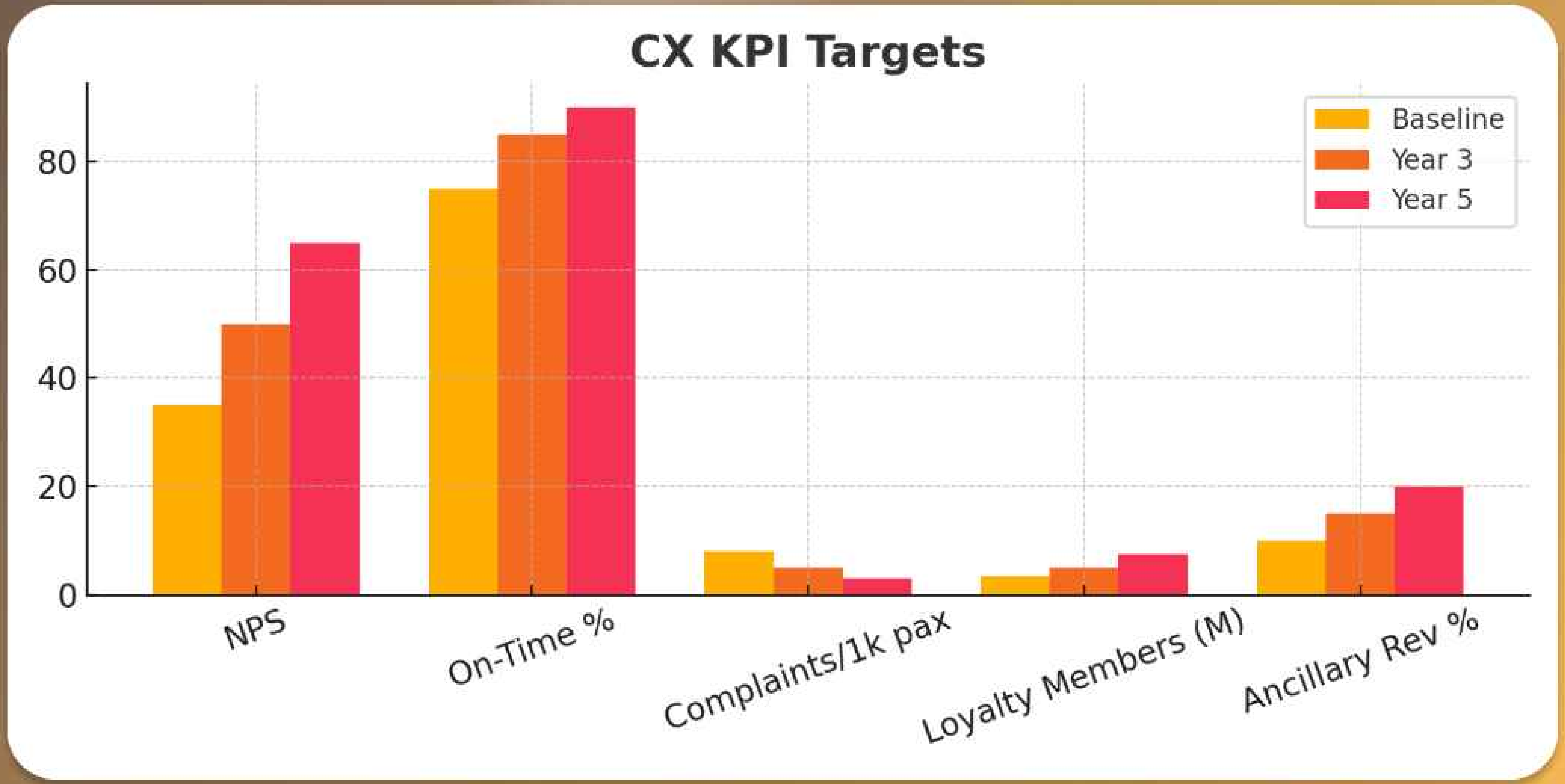
Year 5:

- *"Seamless journey" tech: biometric boarding, real-time baggage tracking*
- *Joint code-share integration with global partners*

Customer-Centric Performance Metrics

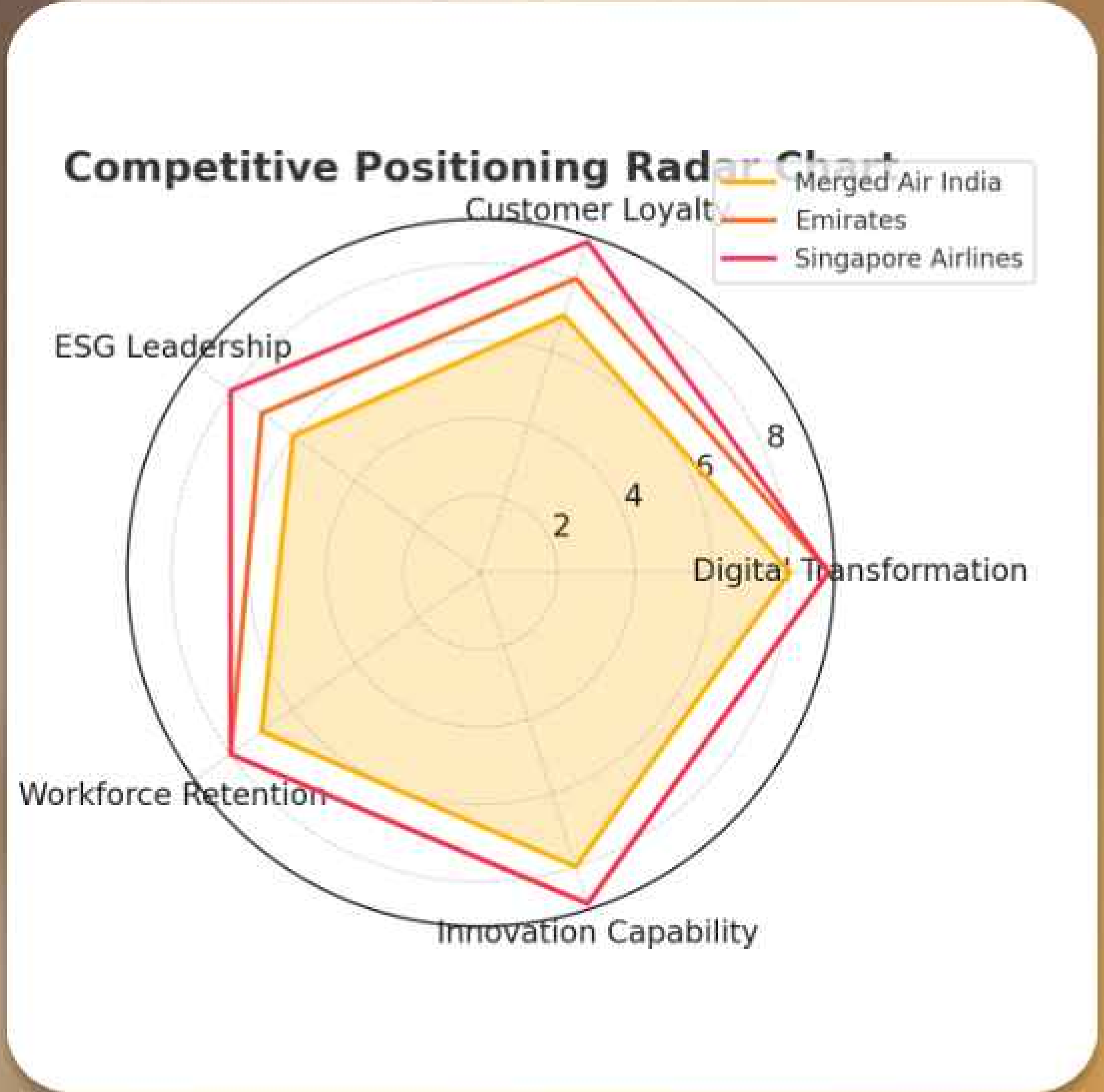
KPIs & targets

KPI	Pre-Merger Baseline	Year 3 Target	Year 5 Target
Net Promoter Score	35	50	65
On-Time Performance %	75	85	90
Complaint Rate (/1k pax)	8	5	3
Loyalty Program Members (M)	3.5	5.0	7.5
Ancillary Revenue (% of total)	10	15	20

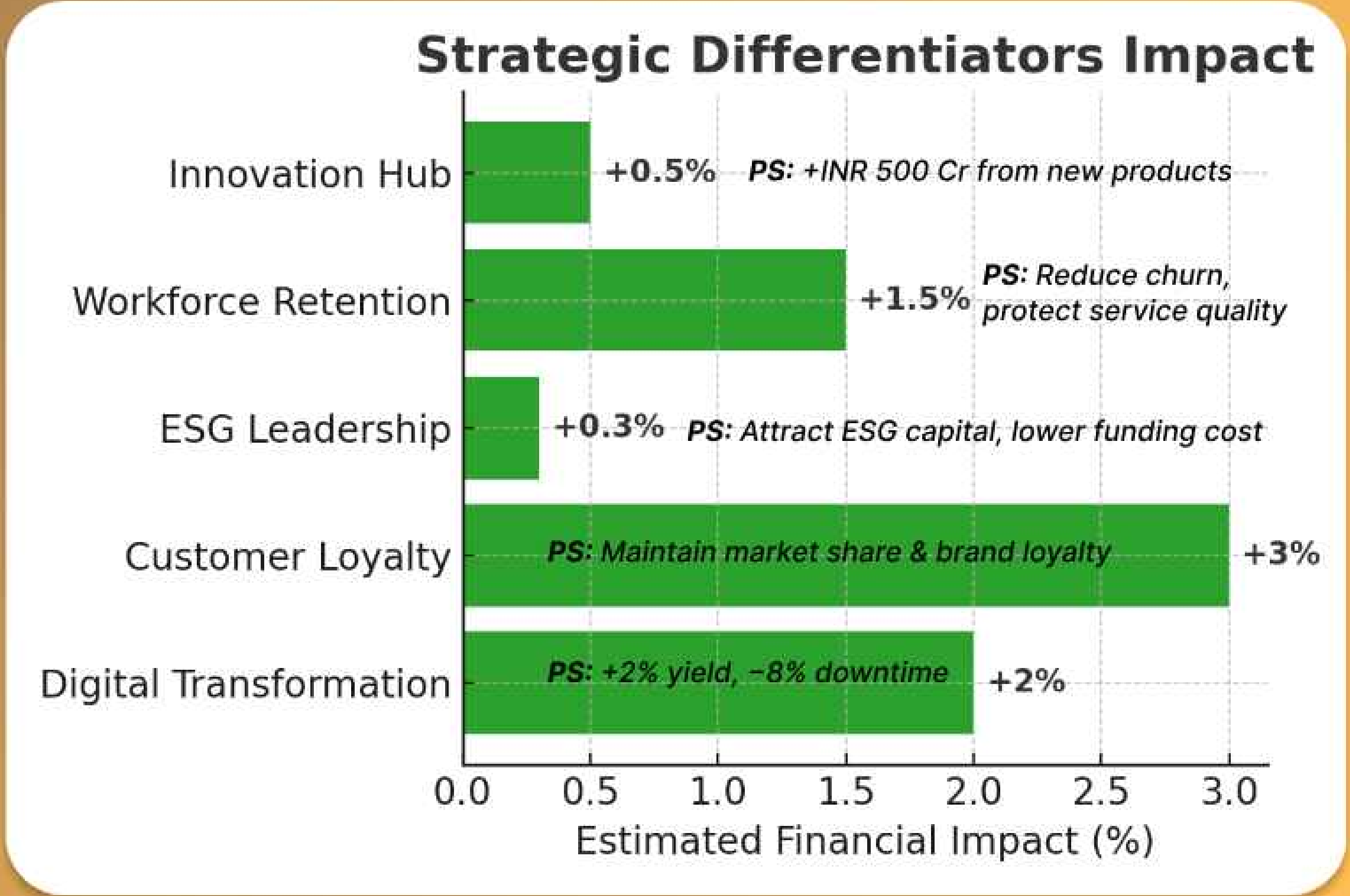


Five Differentiators for Competitive Leadership

Differentiator	Strategic Value	Quantified Impact
Digital Transformation Office (DTO)	Predictive maintenance, AI-driven dynamic pricing	+2% yield, −8% downtime
Customer Advisory Forum	Premium flyer retention during integration	Maintain +3 NPS advantage
ESG Leadership	SAF adoption, carbon-neutral roadmap	−0.3% WACC, +investor confidence
Workforce Charter	Retention bonuses, career progression pathways	−15% attrition
Innovation Hub	New cabin products, cargo tech, in-flight retail	+₹500 Cr annual revenue



- ***Digital Transformation:*** *AI-driven yield management & predictive maintenance for +2% yield, −8% downtime.*
- ***Customer Loyalty:*** *Retain premium flyers during integration → +3 NPS advantage.*
- ***ESG Leadership:*** *SAF adoption, carbon-neutral ops → −0.3% WACC.*
- ***Workforce Retention:*** *Career progression & retention incentives → −15% attrition.*
- ***Innovation Capability:*** *Biometric boarding & cargo tech → +INR 500 Cr annual revenue.*



Strategic Roadmap for Sustained Success

Phase 1: Stabilize (0–12 months)

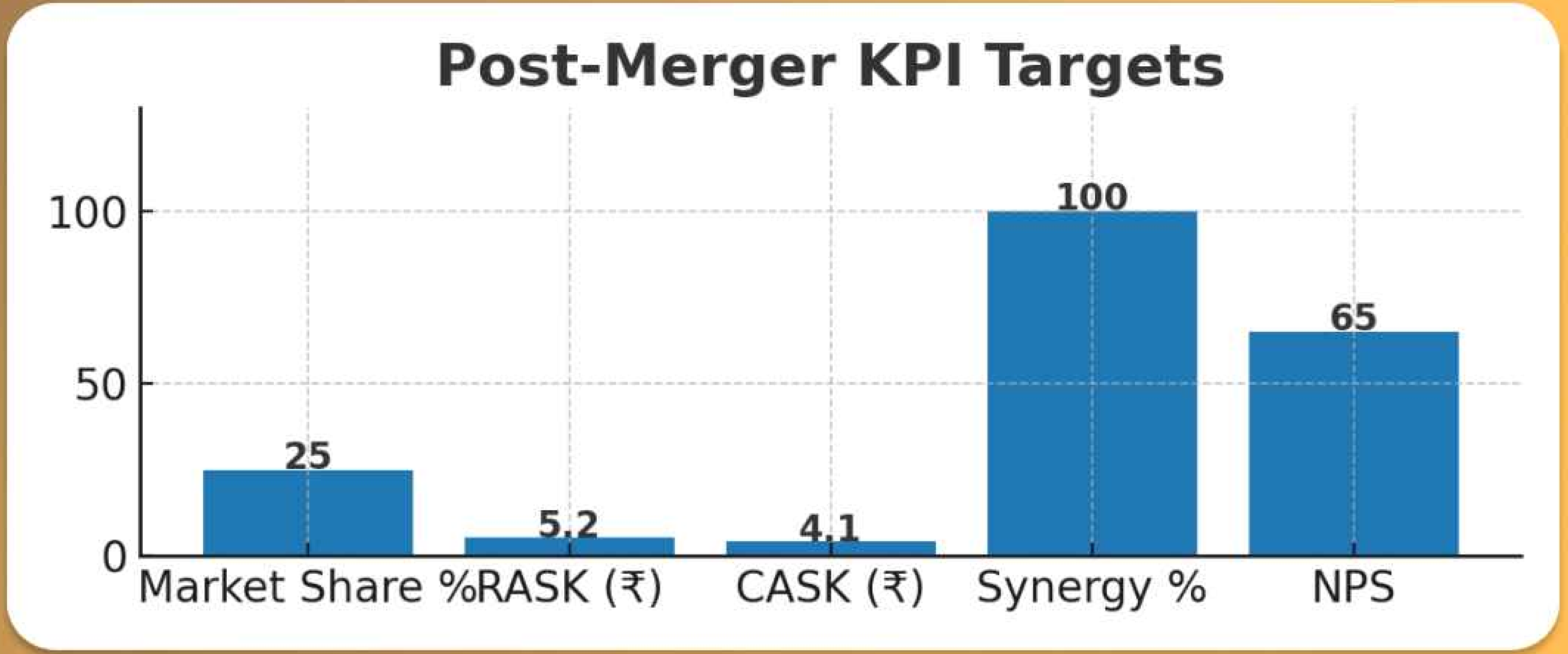
- *Finalize operational integration (crew, systems, fleet allocation).*
- *Migrate loyalty program: Club Vistara → Maharaja Club.*
- *Achieve OTP ≥ 85%, NPS +5 vs. FY24 baseline.*

Phase 2: Optimize (1–3 years)

- *Capture full synergy run-rate.*
- *Implement AI-based revenue management, optimize route network.*
- *Launch unified brand identity globally.*

Phase 3: Scale (>3 years)

- *Target Top 10 global airline ranking (Skytrax).*
- *Double international capacity; expand alliances with EU/US carriers.*



Recommendation:
Balance efficiency, customer loyalty, and brand elevation to create a global FSC with sustainable economics and strong investor appeal.

August 2025

THANK YOU

Meet the Team:

- *Ravi Shekhar Sharma (Team Leader)*
- *Tanul Sharma*
- *Rishit Rai*